The infrastructure financing debacle in India is a reminder of finance as a prerequisite. The bond-currency-derivatives nexus was not in place, and therefore infrastructure financing could not be done in a market-based way. Policymakers were in a hurry, in the early years of the twenty-first century, to get to infrastructure investment, and felt that financial reforms were a luxury which could be postponed. Infrastructure investment was done, for the short run, by forcing banks to hold infrastructure assets. This lead to the worst outcome, visible after 2011, of stalled infrastructure investment and a large stock of stressed banks. It would have been much better to build the bond-currency-derivatives nexus, before embarking on infrastructure investment.

In a similar fashion, we must place financial reforms before macro reforms. This is because macro policy requires the machinery of a sound financial system. Inflation targeting requires a monetary policy transmission, which requires the underlying financial reforms in the form of competition in banking, the bond-currency-derivatives nexus and capital account liberalization. Fiscal reform requires debt management and the bond market.

These preconditions generate a natural sequencing: First we must build a capable financial system, and then we must undertake monetary and fiscal reforms. In India, we seem to be coming at this in the reverse order.

Example 44: Statistical system prerequisites

Building a factual foundation is the first step of the policy pipeline. Improved measurement will feed into all areas of decision making in the private sector and in the policy process. Hence, improvements in measurement should be prioritized for the early stages of building the republic.

If the CPI had not been well measured, it would not have been possible to do inflation targeting. Some people are excited about the value of nominal